

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: July 06, 2026

Latest financials: Q2 FY2025 · Model data as of 2026-07-06

HOLD

Composite · Valuation: OVERWEIGHT

Target \$456.05 · +18.5% upside

Price \$384.88

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$456.05 (+18.5% vs \$384.88); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT \$456.05	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BEARISH	Bearish	20%
Quantitative	NEGATIVE	Score -0.70 · 12m -22%	15%
Composite	HOLD	Score +0.22 · 50% confluence	—

Solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

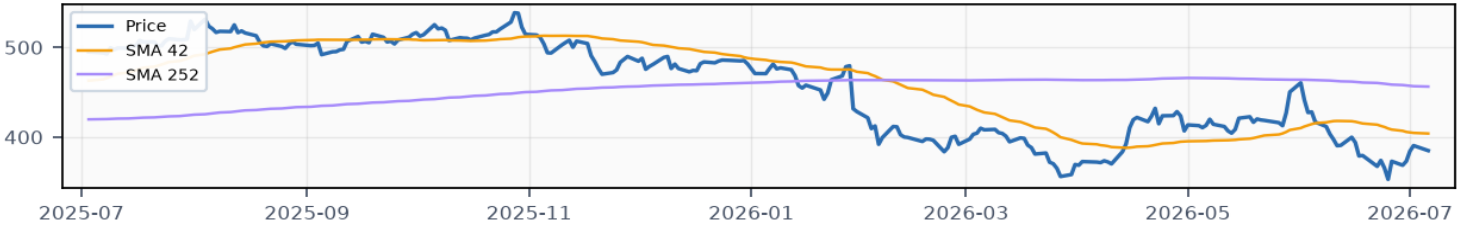
Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **OVERWEIGHT** rating; blended target \$456.05. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.86T	Shares Out.	7428.4M
52-Week Range	\$349.20 – \$555.45	P/E (TTM)	22.9x
P/B	6.9x	Beta	1.13
Avg Volume	40.23M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B
Gross Margin	68.3%	ROE	34.0%
EV/EBITDA	16.0x	Debt/Equity	30.3%
EPS (TTM)	\$16.79	Div Yield	93.0%

PRICE TREND · SMA 42 / 252

MSFT · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
P/E (x)	32.44	28.08	23.73	20.90	18.96

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$403.96	Short-term trend	12m Momentum	-22.2%	
SMA (252d)	\$456.29	Long-term trend	3m Momentum	+3.4%	
RSI (14d)	47.6	Momentum oscillator	Ann. Volatility	27.0%	
Trend	Bearish		Sharpe Ratio	0.14	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-41.2%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$403.96, SMA252=\$456.29	Quant Score	-0.70	NEGATIVE
			SMA Backtest (ann.)	7.2%	B&H; 11.0%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE)	\$210.48	-45.3%	0% (excluded)	Diverges below other methods (42% of median)	Ke · Terminal g	10.21% · 4.00%
					FCFE growth	9.15%
					Equity value	\$1.56T
Comps — Blended (median of multiples + uplift anchors)	\$429.79	+11.7%	80%	Included in blend	Implied price	\$210.48
					vs. current	-45.3%
Analyst consensus (Yahoo Finance)	\$561.11	+45.8%	20%	Included in blend		
Blended target (weighted)	\$456.05	+18.5%	100%	Comps 80% + Analyst 20%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$415.51B	24.7x	17.9x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$136.99B	19.4x	12.9x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$112.55B	65.0x	37.0x	12.6%	+22.1%
IBM	International Business	\$281.15B	26.5x	19.9x	15.6%	+9.5%
MSFT*	Microsoft Corporation	\$2.86T	22.9x	16.0x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (18.3% YoY); High operating leverage (46.3% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.